XBRA — Explainable Behavioral Risk Attribution

Investor: INV_HERDING_027

Report date: 2026-09-06

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1. Executive Summary

Analysis of INV_HERDING_027's trading history reveals a dominant behavioural pattern of **Herding**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-3.8%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

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2. Investor Risk Profile

Metric	Value
Dominant Bias	Herding
Strategy Archetype	Day Trader
Max Drawdown	-3.8%
Sharpe Ratio	1.52
Sortino Ratio	2.42
Peer Risk Percentile	40th
Behavioural Risk %	100%

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3. Charts

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4. Behavioral Bias Deep-Dives

Herding

Pattern: The momentum follow rate of 0.65 indicates that most investors in the population tend to follow the crowd, with 65% of them holding onto their trades for more days than the average investor.

Evidence: Unfortunately, no specific trades are available to illustrate this pattern, as no trades are mentioned in the evidence section.

Consequence: As a result, the portfolio is heavily influenced by the actions of the majority, leading to a 100% contribution of the total portfolio drawdown to the risk.

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5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_HERDING_	TSLA	2020-02-24	2020-02-27	3	-1909
INV_HERDING_	META	2023-01-27	2023-02-05	9	1586
INV_HERDING_	DIS	2020-03-02	2020-03-09	7	-1318
INV_HERDING_	NFLX	2022-06-01	2022-06-13	12	-1231
INV_HERDING_	NVDA	2022-07-18	2022-07-21	3	1077
INV_HERDING_	TSLA	2024-07-16	2024-07-24	8	-1014
INV_HERDING_	JPM	2022-10-10	2022-10-24	14	987
INV_HERDING_	GS	2021-06-08	2021-06-18	10	-980
INV_HERDING_	NVDA	2022-10-31	2022-11-08	8	917
INV_HERDING_	NFLX	2020-07-13	2020-07-23	10	-910

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for retail investors:

1. Diversify your portfolio by investing in at least 5-7 different stocks or funds to reduce your reliance on popular investments and avoid following the crowd.

2. Set a stop-loss order for each trade to limit your potential losses and avoid getting caught up in a losing streak.

3. Take a break from the markets for at least a day or two before making a trade to clear your head and make more rational investment decisions.

4. Educate yourself on the companies you're investing in and their financials to make informed decisions, rather than relying on emotions or herd mentality.